Clean Energy Regulatory Landscape Outlook

Horizon: **March - May 2026**

Carver Agents

U.S. clean-energy regulation is entering a **high-volatility implementation window** driven by (1) **federal tax-credit eligibility tightening** (especially “beginning of construction” rules for wind/solar) and (2) **supply-chain/national security screens** embedded into credit qualification. The immediate implication for developers, manufacturers, and investors is that **project financeability will increasingly hinge on documentary proof**—not just engineering progress—covering construction start, continuity, and foreign-entity “material assistance” exposure. State attorneys general are already escalating these issues into litigation and coalition actions, signaling a **prolonged legal overhang** that can affect timelines and underwriting assumptions through mid-2026. (Oregon DOJ) (CA OAG – IRS Notice 2025-42 challenge) (IRS – PFE material assistance guidance)

In parallel, grid buildout and procurement policy is shifting from aspiration to execution. FERC’s Order 1920 (and rehearing orders) is pushing regions into **20-year transmission planning and revised cost allocation** with expanded state involvement—raising near-term compliance and stakeholder engagement demands for transmission providers and large load/generation stakeholders. On the demand/procurement side, Illinois’ approval of the 2026 Long-Term Renewable Resources Procurement Plan (LTRRPP) underscores that states are **locking in REC procurement volumes and budgets** even amid federal uncertainty. (FERC explainer – Order 1920) (ICC press release – 2026 LTRRPP)

Outside the U.S., the EU is accelerating **industrial policy for net-zero manufacturing** via the Clean Industrial Deal State Aid Framework (CISAF) and large member-state schemes (France, Germany), while Australia and Japan are tightening **scheme integrity and compliance enforcement** (installer standards, reporting, public naming). Canada is coupling industrial strategy with **stronger 2027–2032 vehicle emissions standards** and EV affordability supports, which will influence North American supply chains and demand signals. Bottom line: organizations should assume **more conditional incentives, more audits, and more enforcement**, and should build “regulatory proof packs” now to protect eligibility and market access. (European Commission – Clean Industrial Deal) (EC – France €1.1B scheme) (EC –

Germany €3B scheme) (CER Australia compliance update) (METI Japan disclosure) (Canada auto strategy – Feb 2026)

Detailed Outlook Analysis

What is happening and what you need to do now to prepare.

1) U.S. Tax Credit Eligibility Tightening for Wind/Solar ("Beginning of Construction")

IRS Notice 2025-42 is a focal point of U.S. clean-energy regulatory risk because it **narrows pathways to establish "beginning of construction"** for key clean electricity credits for wind and larger solar projects—specifically by **removing or limiting the 5% safe harbor** approach that many developers used to de-risk qualification. Multiple state attorneys general (e.g., Oregon, California-led coalition) are publicly challenging the policy as cost-increasing and disruptive to state energy planning, indicating a **litigation-driven uncertainty band** through spring 2026. (Oregon DOJ) (CA OAG – IRS Notice 2025-42 challenge)

Market guidance to clients from major law firms also reflects that the policy change is being operationalized as a **hard timing and documentation problem**: projects may need to rely more heavily on the **physical work test** and continuity evidence, and developers/investors are expected to increase diligence around construction-start strategies. (Nixon Peabody alert) (Nelson Mullins analysis)

- **Federal (U.S.)**: IRS Notice 2025-42 changes "beginning of construction" rules for wind and larger solar, reducing reliance on the 5% safe harbor and increasing emphasis on physical work/continuity. (CA OAG – IRS Notice 2025-42 challenge) (Nixon Peabody alert)
- **State legal escalation**: Multistate AG coalitions are challenging the IRS approach as increasing costs and undermining clean-energy deployment. (Oregon DOJ) (CA OAG – IRS Notice 2025-42 challenge)

What to Prep Now

- Build a **project-by-project "begin construction" evidence file** (contracts, invoices, photos, work logs, delivery records) mapped explicitly to the **physical work test** and continuity expectations. (Nixon Peabody alert)
- For any project still contemplating safe-harbor strategies, run a **deadline-driven eligibility model** (construction start vs. placed-in-service) and update investor memos to reflect Notice 2025-42 risk. (Nelson Mullins analysis) (CA OAG – IRS Notice 2025-42 challenge)

- Add “tax credit qualification change” clauses to EPC/supply contracts (e.g., **document retention, audit cooperation, and schedule remedies**) to preserve eligibility under tighter interpretations. (Nixon Peabody alert)

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2) U.S. National Security / Supply-Chain Screens in Energy Tax Credits (Prohibited Foreign Entities)

Treasury/IRS guidance implementing restrictions tied to **“material assistance” from prohibited foreign entities (PFEs)** introduces a new compliance layer: credit eligibility can be lost based on upstream content and assistance, not just project location or technology. The IRS notes interim safe harbors and calculation methods (e.g., a material assistance cost ratio approach), which means organizations should expect **traceability, supplier attestations, and auditability** to become standard in tax equity and transferability transactions. (IRS – PFE material assistance guidance)

This is not a theoretical risk: the guidance is framed as a gatekeeping mechanism for credits across facilities, storage technologies, and eligible components, implying that **procurement and compliance functions must integrate** in Q2 2026 to avoid later disallowance. (IRS – PFE material assistance guidance)

- **Federal (U.S.)**: IRS guidance on PFE “material assistance” restrictions for certain energy tax credits; interim safe harbor and calculation methods provided. (IRS – PFE material assistance guidance)
- **Transaction impact**: Increased diligence expectations for developers and investors around supply chain provenance and component sourcing. (IRS – PFE material assistance guidance)

What to Prep Now

- Stand up a **PFE screening workflow**: supplier questionnaires + contractual representations + component-level BOM (bill of materials) capture for all credit-relevant equipment. (IRS – PFE material assistance guidance)
- Implement an internal **“material assistance cost ratio” calculation pack** (inputs, assumptions, supporting invoices) ready for tax equity/transfer buyers and potential IRS review. (IRS – PFE material assistance guidance)
- Update procurement policies to require **traceability and audit rights** for tier-1 and critical tier-2 suppliers for batteries, inverters, modules, and storage components. (IRS – PFE material assistance guidance)

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3) U.S. Federal Funding Instability and Litigation Risk for Clean Energy Programs

State AG litigation (e.g., California and a multistate coalition) challenging the federal termination of energy and infrastructure program funding signals a near-term environment where **appropriated funding can become contested and delayed**, even after awards are announced. This creates execution risk for hydrogen hubs, grid programs, and other infrastructure initiatives that depend on federal disbursements. (CA OAG – funding termination lawsuit)

For organizations, the practical implication for March–May 2026 is that **counterparty risk shifts**: project schedules, workforce plans, and vendor commitments should be stress-tested against delayed or rescinded federal funding flows while litigation proceeds. (CA OAG – funding termination lawsuit)

- **U.S. (multistate)**: Lawsuit alleging illegal termination of billions in energy/infrastructure funding, including large clean energy project impacts. (CA OAG – funding termination lawsuit)

What to Prep Now

- Re-baseline cashflow and milestones with a **"funding delay" scenario** (e.g., 90–180 days) and identify which contracts need suspension/termination rights. (CA OAG – funding termination lawsuit)
- For federally supported projects, create a **grant/award defensibility binder** (award terms, compliance evidence, spend documentation) to support appeals, audits, or litigation-related inquiries. (CA OAG – funding termination lawsuit)
- Add a board-level trigger for **stop/go decisions** tied to specific disbursement events (not announcements) to avoid stranded capex. (CA OAG – funding termination lawsuit)

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4) Grid Buildout: FERC Order 1920 Long-Term Transmission Planning and Cost Allocation

FERC Order 1920 requires transmission providers to conduct **long-term (at least 20-year) regional planning** and adopt revised cost allocation approaches, with rehearing orders clarifying and strengthening **state consultation and involvement**. FERC's own explainer emphasizes increased transparency and the amplified role of states, and DOE has separately highlighted support to help states engage at key decision points (scenario development, cost allocation, evaluation criteria). (FERC explainer – Order 1920) (FERC – Order 1920-B state regulators) (DOE – state planning support)

This is a material near-term compliance and stakeholder-management issue: transmission providers and large market participants should expect **tariff filings, consultation documentation requirements, and more formalized state engagement** to drive timelines and outcomes in 2026 planning cycles. (FERC explainer – Order 1920) (FERC – Order 1920-B state regulators)

- **Federal (U.S.)**: Order 1920 (and 1920-A/1920-B) reforms regional planning and cost allocation; requires long-term planning and expands state role. (FERC explainer – Order 1920) (FERC – Order 1920-B state regulators)
- **Federal-state coordination**: DOE support for states to participate in Order 1920 processes. (DOE – state planning support)
- **Litigation/amicus activity**: Multistate AG amicus activity supporting long-term transmission planning indicates continued legal attention. (CA OAG – amicus on Order 1920)

What to Prep Now

- For transmission providers: build a **compliance calendar** for Order 1920 filings and create a public-facing **consultation record process** (minutes, inputs, responses) aligned with FERC's transparency expectations. (FERC explainer – Order 1920)
- For developers/large loads: prepare a **state-by-state benefits narrative** (reliability, congestion, extreme weather mitigation) to support inclusion of projects in long-term plans and cost allocation debates. (FERC explainer – Order 1920)
- Assign an executive owner for **state regulator engagement** in each region (not just RTO stakeholder teams) given the enhanced state decision-making role. (FERC – Order 1920-B state regulators)

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5) State Procurement Execution: Illinois LTRRPP and REC Market Signals

Illinois' approval of the Illinois Power Agency's **2026 Long-Term Renewable Resources Procurement Plan** sets procurement targets and budgets for RECs across 2026–2027 and 2027–2028 program years, reinforcing that some states are **continuing structured demand creation** for renewables regardless of federal turbulence. The IPA's own materials describe the plan's role in implementing Illinois renewable programs over the next two program years, and the ICC press release confirms approval. (ICC press release – 2026 LTRRPP) (Illinois Power Agency – 2026 plan filing)

For market participants, this means REC strategy and pipeline prioritization should be aligned to **state program calendars and category rules**, not only federal tax credit assumptions. (Illinois Power Agency – 2026 plan filing) (ICC press release – 2026 LTRRPP)

- **Illinois (U.S.)**: ICC approval of IPA 2026 LTRRPP with REC procurement targets/budgets for 2026–2028 program years. (ICC press release – 2026 LTRRPP)
- **Illinois (U.S.)**: IPA outlines plan goals and procurement approach for the next two program years. (Illinois Power Agency – 2026 plan filing)

What to Prep Now

- Map your Illinois-eligible portfolio to **program categories and timing** (e.g., utility-scale vs. distributed programs) and align bid/qualification workstreams to the plan's program years. (Illinois Power Agency – 2026 plan filing)
- Update revenue models to reflect **state REC price/volume risk** alongside federal credit uncertainty, and pre-negotiate REC offtake terms where possible. (ICC press release – 2026 LTRRPP)
- Establish a compliance checklist for Illinois program participation (registration, metering, reporting) to avoid delays in REC monetization. (Illinois Power Agency – 2026 plan filing)

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6) EU Industrial Policy Acceleration: CISAF and Large-Scale Cleantech Manufacturing Aid

The EU's Clean Industrial Deal and CISAF framework is enabling faster approval of state aid to scale clean manufacturing, with Germany and France receiving approvals for multi-billion-euro schemes to expand cleantech manufacturing capacity through grants, tax advantages, interest subsidies, and tax credits through **31 December 2028**. Germany's ministry also characterizes CISAF as replacing the prior Temporary Crisis and Transition Framework and expanding eligible technologies (including wind, hydrogen, heat pumps, batteries, grid technologies, and CCS). (European Commission – Clean Industrial Deal) (EC – France €1.1B scheme) (EC – Germany €3B scheme) (BMWE – CISAF federal framework)

For organizations with EU footprints, March–May 2026 is a window to position investments to qualify for aid while ensuring state-aid compliance and avoiding distortive-competition pitfalls. (EC – France €1.1B scheme) (EC – Germany €3B scheme)

- **EU/France**: €1.1B scheme under CISAF providing tax credits for strategic cleantech manufacturing investments until 31 Dec 2028. (EC – France €1.1B scheme)

- **EU/Germany**: €3B scheme under CISAF supporting cleantech manufacturing capacity via grants/tax advantages/interest subsidies. (EC – Germany €3B scheme)
- **Germany (national)**: CISAF federal framework approved; expands eligible net-zero technologies and is a state-aid legal framework (not itself a program). (BMWE – CISAF federal framework)

What to Prep Now

- Identify EU capex projects that can be framed as **"strategic investments"** in CISAF-listed technologies and prepare state-aid application materials (business case, capacity expansion proof, eligible cost breakdown). (EC – France €1.1B scheme) (BMWE – CISAF federal framework)
- Build a cross-functional **state-aid compliance file** (eligible costs, location, technology scope, critical raw materials linkage) for audit readiness through 2028. (EC – Germany €3B scheme)
- For multinational supply chains, evaluate whether EU incentives shift optimal siting for component manufacturing (batteries, wind components, grid tech) and update location strategy accordingly. (European Commission – Clean Industrial Deal) (BMWE – CISAF federal framework)

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7) Integrity, Enforcement, and Public Disclosure: Australia and Japan

Australia's Clean Energy Regulator (CER) is explicitly signaling that **"transparency is non-negotiable"** and documenting enforcement actions (e.g., court-ordered wind-up for unpaid Renewable Energy Target charges, project removals from the ACCU scheme for reporting failures, installer monitoring and potential removals from battery programs, and fire reporting expectations). This indicates a compliance posture where administrative noncompliance (late reporting, safety reporting lapses) can quickly become **program exclusion or enforcement**. (CER Australia compliance update)

Japan's METI is using public disclosure to enforce compliance under the Renewable Energy Special Measures Law by naming an electricity provider that failed to pay required contributions by the deadline, reinforcing that reputational enforcement tools are active. (METI Japan disclosure)

- **Australia**: CER enforcement actions include court orders, project removals, installer compliance monitoring, and reporting enforcement. (CER Australia compliance update)

- **Japan**: METI public disclosure of non-paying electricity provider under renewable energy law contribution requirements. (METI Japan disclosure)

What to Prep Now

- For Australia scheme participants: implement a **reporting controls calendar** (ACCU reporting, fire incident reporting, installer standards evidence) with named accountable owners and escalation triggers. (CER Australia compliance update)
- Add a **product safety/systemic fault reporting SOP** for storage/controllers and related components to meet regulator expectations and reduce recall-related enforcement exposure. (CER Australia compliance update)
- For Japan market participants: confirm contribution payment processes and build a **deadline assurance mechanism** (dual approvals + automated reminders) to avoid public disclosure risk. (METI Japan disclosure)